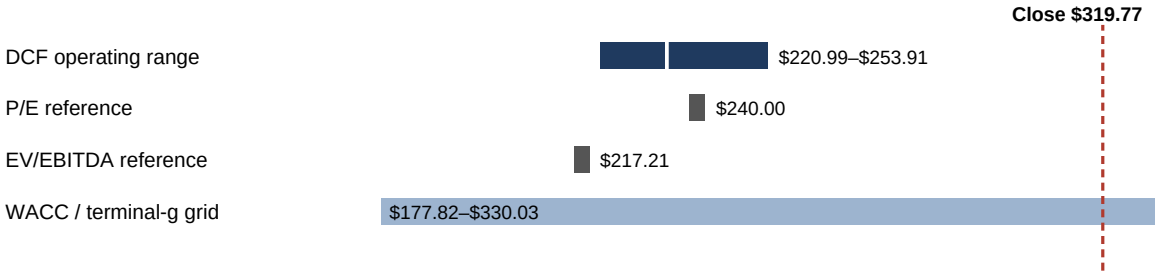
INVESTMENT COMMITTEE MEMO

The Home Depot, Inc. (NYSE: HD) | Valuation date: September 1, 2026 | USD, diluted-share basis
To: Buy-side investment committee **From:** Ethan Todd, equity research analyst **Position today:** none

Recommendation: watch/defer. Do not initiate at $319.77.

The operating scenarios and both comparable references sit below the September 1 close. The FCFF/WACC DCF operating range is **$220.99 to $253.91 per diluted share** (base **$234.00**), so even the upside case is about 21% below market. The WACC/terminal-growth grid exceeds the close only at its most favorable corner. Because several valuation inputs are still provisional, I am not calling HD overvalued with false precision. Under my base discount-rate and operating assumptions, the current price requires growth beyond my supported forecast, so I recommend waiting for a better entry price or for evidence of stronger organic growth and operating leverage.

Method	Value / share	vs. $319.77 close
DCF downside case	$220.99	-30.9%
DCF base case	$234.00	-26.8%
DCF upside case	$253.91	-20.6%
Peer median P/E (trailing GAAP)	$240.00	-24.9%
Peer median EV/EBITDA (derived from reported financials)	$217.21	-32.1%
September 1, 2026 close	**$319.77**	



The WACC/terminal-growth grid is a sensitivity boundary on the base cash flows, not a recommendation range.

What the market price implies

A reverse DCF asks what growth would justify $319.77. In *part3_analysis.py*, the only input that changes is total revenue growth, shifted by the same amount in all five years, and the shift is solved until the base case equals the close. Driver assumptions stay fixed: gross margin, SG&A as a share of gross profit, tax rate, D&A rates, WACC and terminal growth. Working-capital items are held as ratios to revenue or cost of goods sold, so their dollar amounts recalculate and absorb cash as revenue rises. **Capex is the exception: it is held at fixed dollar amounts ($4.2 billion a year in the base case), not as a share of revenue.** Capital intensity therefore falls as growth rises, which flatters the result; scaling capex with revenue would require a larger shift. Debt, excess cash ($0) and diluted shares are also fixed. The required shift is **+6.23 percentage points**, lifting the base path from 3.5%/2.5%/2.5%/2.5%/2.5% to roughly 9.7% in 2026 and 8.7% a year after that. I do not see evidence for that path today.

Why the methods disagree, and why I do not average them

The DCF values my own five-year forecast of demand, acquisition contribution, margins, working capital and reinvestment. The peer multiples import the market's current pricing of Lowe's and Tractor Supply. P/E values equity earnings after interest and tax; EV/EBITDA values operations before the debt bridge. They answer different questions and carry different risks, so I show them side by side. The two-company peer set is thin, and Tractor Supply is only a qualified peer because its rural and consumable-product demand differs from HD's project-heavy mix. The $217.21 to $240.00 multiple references are cross-checks, not independent proof.

Assumptions that carry the result

- **Terminal value dominates.** 76.57% of base enterprise value comes after 2030 (terminal growth 2.5%). In a test with my prediction recorded before the run, lowering terminal growth to 1.5% cut value from $234.00 to **$199.38 (-14.80%)**. My recorded prediction was: “I expect value per share to fall a little like around 3%.” The direction was right but the size was off by almost 12 points, which shows how much of this valuation rests on perpetual growth.
- **WACC (8.1984%) is provisional.** The September 1 Treasury yield and equity risk premium are dated facts, but beta and marginal debt cost/tax are unresolved. Across the displayed WACC (7.20% to 9.20%) and terminal-growth (2.0% to 3.0%) grid, value runs from $177.82 to $330.03. That grid is a sensitivity boundary, not the recommendation range, which comes from the linked downside/base/upside business cases. Only the corner of 7.20% WACC with 3.0% growth exceeds market, and I have no evidence supporting that pairing.
- **Bridge items are open.** Excess cash is set to $0; adding all $2.1 billion of reported cash would add only about $2 per share. Diluted shares (about 999.7 million) are an estimate: 997.69 million outstanding on August 18 plus a 2.0 million award-dilution proxy, with activity through September 1 not fully disclosed. Operating leases ($9.7 billion) are excluded for HD and both peers; capitalizing them would require matching EBIT, FCFF and multiple adjustments. Prices are cross-checked across third-party historical tables because an exchange-quality archive was unavailable.
- **Downside case ($220.99)** does not change the action, since I am already not initiating. It does raise the bar for entry: a lower price alone is not a buy signal if operating evidence is deteriorating at the same time.

Conditions that would change the call

- **Stronger results trigger a refreshed valuation, not initiation.** Even the upside path (3.0% organic growth, gross margin near 33.6%, SG&A near 54.5% of gross profit) is worth $253.91 against a $319.77 close. Initiate only if a refreshed valuation, built on sourced results and a resolved WACC, shows sufficient upside relative to the then-current price, with the margin of safety set by the committee. A price inside $221 to $254 only means price is near my estimate of value; it is not an entry signal on its own.
- **Move toward do-not-initiate** if recessionary demand and margin pressure match or exceed the downside path, acquisition integration weakens, or a material accounting or bridge validation fails.
- **Monitor:** U.S. comparable sales and transactions, big-ticket/project demand, gross margin, SG&A leverage, acquisition contribution, inventory days, capex, and market-based WACC inputs.

Committee ask

Keep HD on the watchlist and approve the monitoring conditions above. Before any initiation vote, require a refresh of the provisional WACC (beta, marginal debt cost and tax) and the exact share count and cash bridge.

Sources

Filings: Home Depot Q2 FY2026 10-Q (filed Aug. 25, 2026; balance sheet Aug. 2; shares Aug. 18) and FY2025 10-K (year ended Feb. 1, 2026; filed Mar. 18, 2026). Peers: Lowe's and Tractor Supply latest 10-Q and annual reports (see *07_comparable_valuation.md*).

Market prices (Sept. 1, 2026 closes): HD $319.77, LOW $200.05, TSCO $34.71, from Yahoo Finance historical prices, with HD also matched on Investing.com and ChartExchange. Nasdaq's archive was unavailable, so exchange-quality evidence is still outstanding.

WACC inputs (8.1984%): risk-free 4.79% (U.S. Treasury 10-year par yield, Sept. 1); equity risk premium 4.14% (Damodaran implied ERP, Sept. 1); beta 1.00 (provider five-year monthly, not captured as of Sept. 1); pre-tax debt cost 4.395% and tax rate 24.66% (effective proxies from the Q2 10-Q, not marginal rates); market-value weights 86.98% equity / 13.02% debt. Detail in *03_valuation_basis.md*.

Validation and AI use: *Validation-and-AI-Use.pdf* documents the benchmark, balance-sheet, cash-tie, signed-FCFF, debt-response, sensitivity and terminal-boundary tests, the recorded-prediction test, and the AI-output check. Model and outputs: github.com/Ethan-Todd/Project-1-HD.

Educational AI finance class work; not professional financial advice.